



البنك المركزي المصري
CENTRAL BANK OF EGYPT

قطاع نظم الدفع وتكنولوجيا المعلومات
Payment Systems & Business Technology Sector



CBE's Regulatory Sandbox Framework

May 2019



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Content:

1. INTRODUCTION.....	2
2. MAIN PRINCIPLES OF REGULATORY SANDBOX.....	3
3.OBJECTIVES OF REGULATORY SANDBOX	5
4. ELIGIBILITY CRITERIA OF REGULATORY SANDBOX	6
5. STAGES OF REGULATORY SANDBOX	7
Application Stage.....	7
Evaluation Stage.....	8
Preparation stage	9
Experimentation stage.....	9
Exit stage	10
6.CBE REGULATORY SANDBOX TESTING PARAMETERS.....	11
Testing Duration	11
Number of Customers	11
Customer selection.....	12
Customer Protection and Safeguard	12
Transaction Limit	12
Reporting Requirements	13
Disclosure	14
Data	14

1. Introduction

The Central Bank of Egypt (CBE) believes in keeping up with rapid developments in financial technology (FinTech) and is striving to achieve an optimal balance between ensuring financial stability and consumer protection as well as advancing beneficial innovation to serve the banking and financial sector in Egypt. To this end, The Regulatory Sandbox will work as a testing ground for Fintech businesses who are developing new business models that are currently hindered by stringent authorization requirements and regulatory uncertainty.

The Regulatory Sandbox is a virtual constructed well-defined space, within which applicants can experiment their innovative FinTech solutions in a live and relaxed regulatory environment for a limited period of time on a small scale and under a well-defined parameter, where challenges and risks to the financial system and ordinary FinTech consumers have been strictly contained.

The purpose of the Regulatory Sandbox is to embed compliance within the FinTech ecosystem at an early stage. This will not only allow Fintech innovators to focus on their core offering, but also ensure that consumers and other players in the market are not adversely affected by the regulatory uncertainty of the disruptive FinTech activities.

This paper will set out the objective and principles of the Regulatory Sandbox and guide the various players in the Egyptian FinTech ecosystem on how the applicant's journey will go through the Regulatory Sandbox.

2. Main Principles of Regulatory Sandbox

- It must be emphasized that the regulatory Sandbox is not a mean to circumvent the legal and regulatory requirements already in place, and FinTech applicants shall respect the related laws and regulations which can't be relaxed such as customer protection, personal data confidentiality, anti-money laundering and counter terrorist financing rules, etc.
- The applicants should introduce new business models and solutions that contribute to improvements in customer benefits and experience in a framework of efficiency and risk management.
- The Regulatory Sandbox will accept applicants that are going to add value to the Egyptian market by providing innovative FinTech services, products or technologies.
- The Regulatory Sandbox will be a cohort based model and the Regulatory Sandbox is to determine the number of applicants that can be accepted according to its capabilities, to ensure that adequate guidance and supervision can be provided to all the applicants of the Regulatory Sandbox.
- The Regulatory Sandbox will be a virtual space open for any commercially registered FinTech company (priority to those backed by financial institutions), and any other licensed financial institution – including banks, to test their technology-based innovative solutions.
- The Regulatory sandbox will provide the required regulatory guidance to the FinTech innovators during all the Regulatory Sandbox stages – (according to the nature of the FinTech activity).
- The Regulatory Sandbox will be open for the mature FinTech applicants that have already finalized their business plan,

technical and operating model, as the Regulatory Sandbox will not accept applicants at the idea stage.

- Applicants must have sufficient safeguards in place to protect consumers, and own the necessary resources to support testing under the Regulatory Sandbox. This includes the required capabilities to mitigate and control potential risks and losses arising from offering their proposed solutions.
- Regulatory Sandbox will be open to local, regional and international FinTech companies and financial institutions who are intending to deploy their proposed solutions in the Egyptian market.
- If more than one FinTech company are jointly involved in an innovative project, they can apply for the Regulatory Sandbox with one company taking the lead, and an alternative plan should be well defined in case of disengagement.
- The Regulatory Sandbox operates in a production live environment so, it is mandatory to have a well-defined and restricted parameter for the applicant during experimentation stage, within which the consequences of risk can be contained.
- The Regulatory Sandbox has the right to disconnect the applicant and end the test at any point of time, in the case that the applicant does not comply with the pre-agreed testing scenario and parameters, or for any other reasons observed by the Regulatory Sandbox.
- Applicants shall disclose information about the proposed solutions, and their accompanying risks to their customers as well as ensuring that appropriate customer safeguards are in place.
- The CBE provides the Regulator Sandbox services for free, however applicant must own its required resources for testing under the Regulatory Sandbox.

3. Objectives of Regulatory Sandbox

- The direct objective of Regulatory Sandbox is to enable FinTech applicants to trial their new products, services, technologies and business models in a live and real world implementation, that is to achieve the following:
 - ▶ Encouraging the adoption of innovative FinTech services and products in the Egyptian financial and banking sector.
 - ▶ Reducing time to market and accordingly the cost of providing innovative FinTech solutions to the Egyptian FinTech market.
 - ▶ Helping the CBE to pinpoint and revise the FinTech regulatory challenges and obstacles based on a risk-based approach.
 - ▶ Encouraging FinTech investments, as regulatory uncertainty disproportionately affects first-movers and discourage innovators.
 - ▶ At the same time the Regulatory Sandbox will allow the CBE to understand disruptive FinTech products and services before taking the decision of regulating them, and collect evidence that can be used to draft the practical guidelines and robust regulations.

4. Eligibility criteria of Regulatory Sandbox

- Applicants will be qualified to enter the Regulatory Sandbox if their innovative FinTech application meets the following criteria:
 - ▶ The innovative product, service or solution shall be within the scope of FinTech services.
 - ▶ The product, service or solution must be genuinely innovative with clear potential to improve accessibility, efficiency, in the provision of financial services.
- Notice: It is accepted for the applicant's proposed solution to offer an already existing service or product, but in a new innovative mechanism or technology.
 - ▶ The applicant must offer a good prospect of identifiable benefit to customers either directly, or via heightened market competition.
 - ▶ The applicant's proposed solution must be in real need to the Regulatory Sandbox – as it is not easy for him to fit into the current regulatory framework, either to has a conflict with the existing regulations, or because of the lack of regulating rules.
 - ▶ The applicant's proposed project must be ready for experimentation under the Regulatory Sandbox with a realistic and well-developed business plan - (with clear objectives, parameters, KPIs and success criteria), to be deployed on a commercial scale in the Egyptian market after the successful exit from the Regulatory Sandbox.
 - ▶ The applicant's proposed project should support financial inclusion in Egypt.

Notice: eligibility criteria can be modified based on the dynamic demand of the market.

5. Stages of Regulatory Sandbox

Regulatory Sandbox will follow a strict process based on 5 subsequent mandatory stages:

Application Stage

- Applicants will be invited to participate in the Regulatory Sandbox. The CBE will announce the timeline of application, the subjects of focus of each cohort, and other details on its portal, official website and social media. Applicants wishing to join the Regulatory Sandbox should fill-in the Regulatory Sandbox online application form accessed via the CBE's official website. Noted that Only projects related to the announced subjects of the cohort will be considered.
- The Regulatory Sandbox online application form covers four main sections as following:
 - ▶ FinTech applicant information, and its backing financial institution info (if any), with reference to the nature of collaboration between financial institution and FinTech company.
 - ▶ FinTech application information.
 - ▶ Eligibility criteria, providing information which serves to substantiate that the offered application meets the eligibility criteria set forth.
 - ▶ Testing plan, providing information which serves to substantiate that the applicant has a well-designed testing plan.
- The applicant is required to offer a full testing plan which will then be refined by CBE and it should include the following:
 - ▶ A clear plan for testing in the Regulatory Sandbox and an applicable timeline.
 - ▶ Indicating the applicant's main associated risks (technical, operational and financial risks for example, cyber security

risk, credit risk, liquidity risk etc.), and risks applicable to clients. – mitigation actions should also be spelt out.

- ▶ Describing in detail the financial innovation to be tested, actions to be taken in the regulatory sandbox, any anticipated cooperation with other partners and intended results.
- ▶ Describe suggested Parameters that will be used to limit the scope of activities during financial innovation testing (the maximum and minimum possible number of clients, the maximum and minimum value of transactions, etc.), and any other means of safeguarding interests of consumers.
- ▶ Measures of testing success. (They should be numeric, for example number of transactions, volume of transactions, a customer satisfaction statistic, etc.) – with numeric KPIs.
- ▶ Expected case exit scenario in the event of disconnecting by the Regulatory Sandbox, or by the applicant himself.
- ▶ Deployment scenario in the event of success.

Evaluation Stage

Regulatory Sandbox shall assess the proposed project according to the pre-defined eligibility criteria before approving the application. The timeline for this stage is 21 working days and will hinge upon the complexity of the application and the specific legal, legislation and regulatory requirements involved. In the interim, the applicant can be allowed to adjust and refine its application according to discussions with the Regulatory Sandbox. At the end of this evaluation stage, the applicant will be officially informed by the outcome of the Regulatory Sandbox decision. There is a possibility where CBE might request the applicant to present the solution in person.

Preparation stage

- At this stage the Regulatory Sandbox shall confirm that all relevant affected customers were informed that they would be participating in the Regulatory Sandbox and the applicant has their formal consent, this can be in the form of a letter of intent or a memorandum of understanding from enterprise customers, or a digital consent form to be approved by customers during usage of the proposed application.
- Regulatory Sandbox shall also confirm security precautions provided by the applicant during the experimentation stage within the Regulatory Sandbox.
- Preparation stage ends when the regulatory sandbox agrees with the applicant on the test scenario, which must be followed rigorously by the applicant during the experimentation period.
- Finally, the Regulatory Sandbox issues a letter of approval to the selected applicant setting out all terms and conditions that apply to the sandbox entity, which will reflect the earlier discussions between the Regulatory sandbox and the applicant.
- This stage will take maximum 21 working days.

Experimentation stage

- Once the Regulatory Sandbox officially approves the applicant's proposed project, Regulatory Sandbox will launch into the experimentation stage for a fixed duration, upon the expiry of which the applicant must exit from the Regulatory Sandbox, generally the duration of the experimentation stage is 6 months, and can be extended by the Regulatory sandbox approval to be 12 months - based on the testing process requirements.
- In this phase the applicant will test the proposed project in its own live environment and under the stipulated scenario, while the Regulatory Sandbox will be guiding and monitoring.

- Success and failure Key Performance Indicators (KPIs) for the applicant's product or service should be established and agreed upon by both CBE and applicant before launching in the Sandbox. Periodical evaluations will ensure that the initial targets were feasible and achievable, and that the applicant is on the right track to achieve the pre-agreed KPIs, and also ensure that there have been no major external shifts requiring re-evaluation of the applicant's success factors. When it is deemed necessary, the KPIs can be changed during the experimentation period if there is consent by both CBE and applicant.

Exit stage

- Applicants can exit the Regulatory Sandbox in any of the following scenarios:
 - ▶ Normal exit (Pass or Fail)
 - ▶ Abnormal/premature exit (disconnect)
- The applicant shall provide the Regulatory Sandbox with the final report no later than (15) calendar days from the end date of the experimentation stage, to be reviewed by the Regulatory Sandbox within (21) working day. Reports will be according to the pre-defined scenario that has been set in a case by case basis, final report can include the following points:
 - ▶ Operational metrics, for example quality and stability of service.
 - ▶ A complete detailed record of all incidents and procedures taken to resolve them.
 - ▶ Business metrics.
 - ▶ Technical metrics.
 - ▶ Customer satisfaction statistics.
 - ▶ Final results of the test cases and next step.

- In the event of success, the applicant will be ready to deploy its project in the Egyptian financial market partially or fully, (after getting the required license).
- In the event of failure, the applicant must provide the causes of the failure and the lessons learned for future purposes (if any), and can apply for the future cohorts – if there are genuine reasons.
- In all cases, sandbox entity should ensure that any exiting obligations to its customers are fulfilled before exiting or discontinuing the sandbox.

6. CBE Regulatory Sandbox testing parameters

Testing Duration

- Regulatory sandbox is intended for testing for a limited duration. Testing duration should be long enough to enable statistically relevant data to be obtained from the test. Cohort duration is 6 months and can be extended to 12 months - if there is a need, that is to ensure an appropriate duration for testing.
- The Applicant may choose to discontinue the Sandbox trial during the Regulatory Sandbox testing period after giving a one-month notice to the Regulatory Sandbox Dept.? and fulfilling all its outstanding obligations.

Number of Customers

- Regulatory Sandbox is intended for small scale testing and will set a strict limit to the size of the test. Customer sets should be big enough to enable statistically relevant data to be obtained whilst managing the risk to customers and practicalities of obtaining the customers for the testing period.

- The maximum and minimum number of customers must be determined and approved by both the applicant and Regulatory Sandbox.

Customer selection

- Applicants have to source their customers themselves for testing in the Regulatory Sandbox. The type of customers should be appropriate for the type of innovation proposed project and the intended market. The applicant should also provide a written customer consent of risks they are exposed to, or it can be in a form of digital consent that customer shall approve before starting using the proposed application.

Customer Protection and Safeguard

- Regulatory Sandbox should ensure that applicants have appropriate customer safeguards in place, and should agree on customer safeguards on a case-by-case basis according to the nature of the proposed project and the nature of the customer (individual customer, retail customer or corporate customer), and generally consumers should be aware of all potential associated risks they might expose to during the testing period, and agree to participate on their own responsibilities.
- Customer data used for Regulatory Sandbox testing is highly confidential and mustn't be used for any other purpose during or after the Sandbox period.

Transaction Limit

- Regulatory Sandbox should ensure that applicants provide the proposed project within limited transactions (value and volume) for better risk management and mitigation. These limits can be modified during the testing period with the consent of Regulatory Sandbox.

Reporting Requirements

- Regulatory Sandbox participant must submit a monthly progress report to the Regulatory Sandbox at the end of every calendar month, based on the pre-agreed testing scenario, signed by the senior management. Such periodic reports must cover all regulatory needs include at a minimum the following information:
 - ▶ Progress and key milestones achieved relative to the pre-defined Key Performance Indicators – (KPIs)
 - ▶ Detailed log of operational or technical incidents - (if any) and steps taken to address them.
 - ▶ Details on any audits conducted (submission of signed internal / external audit reports) - (if any).
 - ▶ Customer satisfaction report, including complaints - (if any).
- Regulatory Sandbox participant may be asked to provide more information when it is required.
- The Regulatory Sandbox participant must submit a detailed final report within 15 days after completion of the Regulatory Sandbox testing period, the reporting format must be kept simple and should mainly cover the following:
 - ▶ A comprehensive evaluation of all aspects relating to Regulatory Sandbox test, including key findings and results.
 - ▶ An assessment on whether pre-defined KPIs were met or not.
 - ▶ Key risks identified and key steps taken to address and mitigate such risks.
 - ▶ Detailed log of operational or technical incidents - (if any) and steps taken to address them.
 - ▶ Customer satisfaction report, including complaints - (if any)
 - ▶ Details on any audits conducted – (If any)

Disclosure

- The Regulatory Sandbox reserves the right to publish any relevant information about successful applicants (FinTech companies and financial institutions) on its website or any other public information channel, including the purpose of transparency with market and knowledge transfer and collaboration with the international regulatory entities.

Data

- Regulatory Sandbox is not responsible for the provision of any data to applicants during testing in the sandbox and the Regulatory Sandbox has the right to ask the applicant for all relevant data and reports.

Notice:

Periodically, and at least once every 2 years, the CBE shall review the provisions of the Framework and amend them if necessary, according to the market needs.





FinTech Sandbox





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